

“rosy visions of the colony as a veritable Garden of Eden, inhabited by friendly savages, eager to furnish a cornucopia of exotic goods for shipment to France.”

Law’s promises entranced investors and colonists alike, but the dreams he spoke of were illusions, with no prospect of near-term profits, and therefore little basis for the rising share prices of the Mississippi Company. When the colonists arrived in the Louisiana territory what they found “was a sweltering, insect-infested swamp. Within a year 80 percent of them had died of starvation or tropical diseases like yellow fever.”

Meanwhile, Law tinkered with other monetary policy experiments to prop up the shares of his company and pay down the national debt, such as doubling the supply of paper money in France in a little over a year. Law grew his power to the point where, “It was as if one man was simultaneously running all five hundred of the top U.S. corporations, the U.S. Treasury and the Federal Reserve System.”¹⁷

JOHN LAW: CONVICTED MURDERER AND COMPULSIVE GAMBLER

The French would have done well to better investigate the priors of John Law before handing him control of the country’s finances. If they had done proper due diligence, they would have discovered he was a compulsive gambler and convicted murderer. In the 1690s he had escaped from prison in London—where he was awaiting a death sentence—and fled to Amsterdam. At the time, Amsterdam was a pioneer in new market structures, with the trading of